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Hubbell Inc. | North America

# NSI Acquisition Brings Accretion at Attractive Valuation

HUBB announced it has entered an agreement to acquire NSI Industries for \$3.0B cash - a purchase price equating to 15.5x 2026e EBITDA, an attractive mark in our view for a margin + growth accretive business. NSI is a leading provider of electrical fittings, connectors & components serving industrial, data center & network infrastructure verticals. Our sense is that NSI end market exposure is similar to Hubbell Electrical Solutions segment with data center accounting for ~10% of the mix. **We take the deal as a positive for HUBB as the company is acquiring a margin + growth accretive business at a discount to its own valuation.** We view NSI as a M-HSD growth business through cycle but given cont'd Data Center strength we would anticipate HSD growth into 2027. NSI is expected to do \$570M of sales in 2026 with EBITDA of ~\$190M, implying margins ~800 bps above existing HUBB operations. **In addition, the deal should be accretive to HUBB right off the bat** - our sense is that the \$190M of EBITDA equals ~\$180M of operating profit (31.5% margin) which signals positive EPS vs expected ~\$150M of higher interest expense stemming from the deal (\$3B @ 5%). The net positive \$30M of PBT equates to 45c of annualized EPS (22% tax rate, 53M shares) - with the deal expected to close mid 2026, we would expect 20-25c contribution to HUBB FY'26 EPS. **HUBB has a long, well established track record of layering on accretive "bolt on" M&A, however, over the last 3yrs the company has pushed into larger deals w/ continued success.** HUBB purchased Access Control in late 2023 for \$1.1B and acquired DMC Power this past August for \$825M - both deals have been materially growth accretive and well integrated, giving HUBB heightened exposure to higher growth verticals.

## Acquisition By The Numbers

- Hubbell will acquire NSI Industries for \$3.0B in cash, funded through a combination of cash on hand and debt financing
- \$3.0B purchase price represents approximately 15.5x 2026E adjusted EBITDA (~\$193M)
- NSI forecasts 2026 revenue of ~\$570M, EBITDA of ~\$193M, EBITDA margin ~34%
- HUBB Consensus, for comparison: 2026 revenue of ~\$6,421M, EBITDA of ~\$1,633M, EBITDA margin ~25%
- Transaction expected to be accretive to HUBB 2026 Adj. EPS and to enterprise and HES operating margins and long term organic growth
- We estimate 23c EPS accretion in 2026, assuming the deal closes mid-year. The deal would bring ~5pts of top line growth y/y and ~40bps EBITDA margin accretion in 2026
- Over the past several years, NSI has grown in line with higher growth areas of the HES portfolio, which we estimate at HSD over the near-term and M-HSD through-cycle.

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| Hubbell Inc. (HUBB.N, HUBB US)            |                 |
|-------------------------------------------|-----------------|
| Multi-Industry   United States of America |                 |
| Stock Rating                              | Equal-weight    |
| Industry View                             | Attractive      |
| Price target                              | \$565.00        |
| Shr price, close (May 1, 2026)            | \$508.43        |
| Mkt cap, curr (mm)                        | \$27,232        |
| 52-Week Range                             | \$565.00-341.33 |

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**Strategic Rationale:** The NSI acquisition supports HUBB's long-term strategy of expanding its portfolio of critical infrastructure solutions for core utility and electrical customers. NSI's product portfolio complements HES's, enhancing its offerings for the light industrial, data center and network infrastructure verticals, and management is confident that the addition of NSI will support the segment unification strategy and improve opportunities for cross-selling, channel conversions, growth across strategic verticals and manufacturing efficiencies. NSI sells over 15,000 branded electrical products through more than 2,000 distributors across North America under a portfolio of brands, including Bridgeport fittings, Polaris connectors, and Tork timers.

**Exhibit 1:** NSI EPS Accretion (MSe)

|                     | HUBB (Cons) | NSI<br>*Mid-Year Close | Proforma | Notes                                                   |
|---------------------|-------------|------------------------|----------|---------------------------------------------------------|
| Revenue             | \$ 6,421    | \$ 285                 | \$ 6,706 | Press Release                                           |
| COGS+OpEx excl. D&A | \$ 4,788    | \$ 189                 | \$ 4,977 |                                                         |
| EBITDA              | \$ 1,633    | \$ 97                  | \$ 1,729 | \$3.0B acquisition @ ~15.5x EBITDA = ~\$193M Annualized |
| Margin              | 25.4%       | 33.9%                  | 25.8%    |                                                         |
| D&A                 | \$ 162      | \$ 6                   | \$ 168   |                                                         |
| Margin              | 2.5%        | 2.0%                   | 2.5%     | Assume ~2% of Sales                                     |
| Op Income           | \$ 1,471    | \$ 91                  | \$ 1,561 |                                                         |
| Margin              | 22.9%       | 31.9%                  | 23.3%    |                                                         |
| Interest Expense    | \$ 89       | \$ 75                  | \$ 164   | \$3.0B @ 5% Interest Rate = \$150M                      |
| Other               | \$ 26       | \$ -                   | \$ 26    |                                                         |
| EBT                 | \$ 1,356    | \$ 16                  | \$ 1,371 |                                                         |
| Margin              | 21.1%       | 5.5%                   | 20.4%    |                                                         |
| Taxes               | \$ 305      | \$ 4                   | \$ 308   |                                                         |
| Tax Rate            | 22.5%       | 22.5%                  | 22.5%    | HUBB 2026 tax rate guide 22.5%                          |
| NCI                 | \$ 5        | \$ -                   | \$ 5     |                                                         |
| NI                  | \$ 1,046    | \$ 12                  | \$ 1,058 |                                                         |
| Margin              | 16.3%       | 4.3%                   | 15.8%    |                                                         |
| EPS                 | \$ 19.74    | \$ 0.23                | \$ 19.92 |                                                         |
| SHO                 | 53.1        | 53.1                   | 53.1     |                                                         |

Source: Company Data, Visible Alpha, Morgan Stanley Research

## Valuation Methodology and Risks

### Hubbell Inc. (HUBB.N)

Our price target is based on ~26x C'27 EPS of \$21.64. The multiple represents an LDD % premium to peers and 30%+ premium to the S&P, ahead of recent levels and history. The move to MSD organic growth (vs LSD historically) argues for re-rating, as HUBB moves past destock headwinds and benefits from secular demand tailwinds (Reshoring, AI/Data Center, Electrification).

### Risks to Upside

- Signs that channel destock has ended, giving the market increased confidence in HUBB's ability to deliver MSD organic growth.
- Further margin expansion which would reduce concerns around price / cost give back.

### Risks to Downside

- Extended channel destock (Telco, Utility Distribution, Non-Res), driving negative 2026 revisions and adding risk around ability to hold recent margin expansion.
- Industry price competition.

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(as of April 30, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1546              | 42%        | 467                              | 51%            | 30%                  | 709                                               | 44%                   |
| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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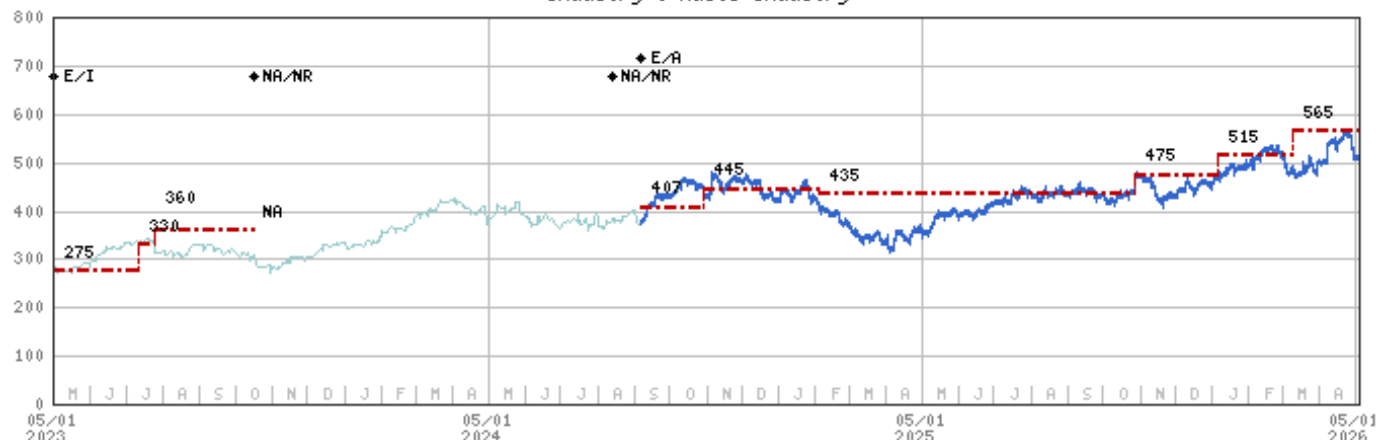
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Hubbell Inc. (HUBB.N) - As of 05/04/26 GMT in USD  
Industry : Multi-Industry



Stock Rating History: 5/1/21 : E/A; 6/4/21 : E/I; 10/16/23 : NA/NR; 8/13/24 : NA/NR; 9/6/24 : E/A

Price Target History: 4/28/21 : 203; 7/28/21 : 211; 10/7/21 : 209; 1/14/22 : 207; 3/1/22 : 198; 4/7/22 : 200; 5/31/22 : 190;  
7/27/22 : 206; 10/12/22 : 219; 10/26/22 : 226; 2/1/23 : 238; 4/26/23 : 275; 7/12/23 : 330; 7/26/23 : 360; 10/16/23 : NA;  
9/6/24 : 407; 10/29/24 : 445; 2/4/25 : 435; 10/28/25 : 475; 1/6/26 : 515; 3/10/26 : 565

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)  
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —  
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## INDUSTRY COVERAGE: Multi-Industry

| COMPANY (TICKER)                           | RATING (AS OF) | PRICE* (05/01/2026) |
|--------------------------------------------|----------------|---------------------|
| <b>Christopher Snyder, CFA</b>             |                |                     |
| 3M Co. (MMM.N)                             | E (10/21/2025) | \$142.50            |
| Acuity Inc. (AYI.N)                        | O (01/14/2025) | \$289.29            |
| Allegion Public Limited Company (ALLE.N)   | E (01/06/2025) | \$135.49            |
| Alliance Laundry Holdings Inc (ALH.N)      | E (11/03/2025) | \$25.43             |
| Ametek Inc. (AME.N)                        | E (04/14/2025) | \$230.48            |
| Carrier Global Corp. (CARR.N)              | E (09/06/2024) | \$67.62             |
| Dover Corp (DOV.N)                         | E (04/14/2025) | \$225.79            |
| Eaton Corporation PLC (ETN.N)              | O (09/06/2024) | \$425.55            |
| Emerson Electric Co (EMR.N)                | U (09/06/2024) | \$137.45            |
| Fastenal Co. (FAST.O)                      | E (09/06/2024) | \$44.91             |
| Forgent Power Solutions (FPS.N)            | E (03/02/2026) | \$39.22             |
| Fortive Corp (FTV.N)                       | E (09/02/2025) | \$59.03             |
| Gates Industrial Corporation PLC (GTES.N)  | E (09/06/2024) | \$24.06             |
| Honeywell International Inc (HON.O)        | E (09/06/2024) | \$212.50            |
| Hubbell Inc. (HUBB.N)                      | E (09/06/2024) | \$508.43            |
| Ingersoll Rand INC (IR.N)                  | E (09/06/2024) | \$77.99             |
| Johnson Controls International Plc (JCI.N) | O (09/06/2024) | \$145.08            |
| Lennox International Inc (LII.N)           | U (01/06/2025) | \$526.33            |
| Mirion Technologies Inc (MIR.N)            | E (01/23/2026) | \$19.63             |
| Otis Worldwide Corp (OTIS.N)               | E (09/06/2024) | \$77.08             |
| Parker-Hannifin Corp (PH.N)                | E (06/05/2025) | \$882.23            |
| QXO Inc (QXO.N)                            | ++             | \$19.82             |
| Ralliant Corporation (RAL.N)               | O (09/02/2025) | \$45.69             |
| Rockwell Automation (ROK.N)                | O (09/06/2024) | \$407.43            |
| Stanley Black & Decker Inc (SWK.N)         | E (09/06/2024) | \$78.53             |
| Teledyne Technologies Inc. (TDY.N)         | E (12/12/2022) | \$640.33            |
| Trane Technologies PLC (TT.N)              | O (09/06/2024) | \$486.48            |
| Vertiv Holdings Co. (VRT.N)                | O (01/06/2025) | \$328.31            |



|                            |                |            |
|----------------------------|----------------|------------|
| W.W. Grainger Inc. (GWW.N) | E (09/06/2024) | \$1,148.62 |
| Watsco Inc (WSO.N)         | E (04/14/2025) | \$428.57   |

Stock Ratings are subject to change. Please see latest research for each company.  
\* Historical prices are not split adjusted.

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